

if they are backed up by facts. This is one of the first lessons young businessmen and executives should learn—or they will find themselves being taught it the hard way!

Once satisfied that he has made a sound decision based on sound judgment of the facts, the businessman can plot the course whereby he will implement his decisions or programs. And, he should stick to that course and follow it through. The failure to do this is another of the blunders often made by young businessmen—and by some who are not so young.

That's where I made my big error in 1931. I did not have the courage of my convictions, and I failed to stick by my decisions and to my plans. I was convinced that Mexican Seaboard common was a good—an unusually good—investment. I had made careful, painstaking studies of the company's history, its organizational, financial and debt structure, its potential and all other conceivably pertinent

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factors. It was only after I'd done all this that I bought large blocks of Mexican Seaboard stock on my own account and used my influence to encourage the firms in which I held substantial interests to do likewise. When Mexican Seaboard shares dropped a few points, the directors of the boards on which I also sat became nervous and voted to sell out the firms' holdings. My arguments were unavailing, and the firms sold their Mexican Seaboard stock.

Whereupon, instead of hewing to my original plans, I followed suit. I "dumped" my own shares. I suffered a considerable loss on my original investment, for the stock was selling for less than what I had paid for it. Far more serious was the loss of the very large potential profit that would have accrued to me in the ensuing years, when the stock multiplied many times in value, just as I had reasoned it would—as I knew from my careful studies of the company that it *must*.

This was a stock transaction. It is not difficult to find analogous situations in commerce and industry. Quite often, businessmen become frightened at